

The London School of Economics and Political Science

FM214: Principles of Finance I

Autumn Term 2026

Lecturer

Dr. Cameron Peng (Office: MAR 7.07, Email: c.peng9@lse.ac.uk)

Lectures: Friday 11am–1pm, Peacock Theatre

Course Objectives

This course provides a rigorous survey and introduction to finance. It is a prerequisite for more advanced finance courses and serves as a stand-alone course for students in other fields, such as economics or management. The course is organized around the two central ideas of asset pricing. The first is *equilibrium* pricing: portfolio theory and diversification, the Capital Asset Pricing Model, the expected-utility foundations of portfolio choice, and the consumption-based CAPM. The second is pricing by *absence of arbitrage*: state prices and the stochastic discount factor, developed in a simple two-state setting and then applied to the valuation of bonds and the term structure of interest rates, forward and futures contracts, and put and call options, concluding with the binomial model and the Black–Scholes formula. Throughout, theory is confronted with data: the course examines the empirical performance of the CAPM, the efficiency of capital markets and the leading anomalies, and the evidence on bond and option markets. Equity and fixed-income valuation are covered in detail.

Background Material (Week 0)

The mechanics of discounting—present and future value, the NPV rule, perpetuities and annuities, compounding conventions, real versus nominal quantities—together with a review of basic statistics, are covered in a self-study handout, *FM214 Background Material*, posted on Moodle before the start of term. This material is **assumed known from the first lecture** and is examinable: Quiz 1 tests it directly, and the valuation lectures use it constantly. Students should work through the handout, including its exercises, before Week 1.

Instructional Delivery

Students will receive instruction through:

- **Lectures:** Weekly two-hour sessions held on Fridays.
- **Classes:** Weekly 90-minute classes.

In addition, students are expected to spend approximately 5 hours per week on self-study, which includes reviewing lecture materials, completing recommended readings, and working on assigned class exercises.

Classes

Classes begin in Week 2 and end in Week 11. Familiarity with the concepts and methods covered in classes is necessary to perform adequately on the final exam. Class exercises generally build on concepts from the previous week's lecture. Students should bring written answers to these questions to class. Class exercises are designed for practice and will not receive feedback.

Communication

In a course of this size, it is logistically infeasible to respond to individual student questions with depth and clarity. Students with questions about the lectures or problem sets are encouraged to consult their class teacher, either during class or during office hours. Additionally, the lecturer will hold office hours and review sessions prior to exams.

Office Hours

All class teachers are allocated office hours, and if you have any questions or problems with the course, in the first instance you should discuss these with your class teacher in the classes or in your class teacher's office hours. Details for class teacher's office hours will be provided on Moodle. Lecturer's office hour: Friday 2pm–3pm, MAR 7.07 (please email me beforehand).

Textbook

Required Textbook: *Principles of Corporate Finance*, 14th Edition by Brealey, Myers, Allen, and Edmans (McGraw-Hill). The lecture slides are self-contained; the textbook chapters listed in the schedule below provide support and additional practice.

Web Resources

Lecture notes, the background handout, class exercises, hand-in problem sets, solutions, and sample exam papers can be accessed on the course's Moodle page. Solutions to class exercises will be made available in the weeks following the respective exercise.

Sample exam papers.

The course has been substantially restructured this year. Two sample exam papers written for the new syllabus, with solutions, will be posted on Moodle by Monday 5 October (Week 2). They are the best guide to the format and level of the January exam.

Assessment

Quiz.

During the course, there will be five online quizzes that will be available to attempt on Moodle from Friday 7pm in weeks 3, 5, 7, 9, and 11. Each quiz covers the lectures from the preceding two weeks: the quiz in week 3 covers the Week-0 background handout and the lectures in weeks 1 and 2, the quiz in week 5 covers the lectures in weeks 3 and 4, and so on, with the final quiz in week 11 covering the lectures in weeks 9 and 10. See the schedule below for details.

Students will have until the following Tuesday at 5pm to attempt the relevant quiz. Once a student triggers the online quiz, they will have two hours in which to attempt the quiz. Solutions and results to the quizzes will be available after the relevant quiz deadline. No extension requests for the quizzes will be accepted. At the end of the term, two of the five quizzes will be randomly chosen—the same for all students—that will be summative and count for 10% of the overall grade for the course, i.e., each summative quiz will be worth 5%. The three quizzes not selected will be formative assessments.

Final exam.

The final exam is worth 90% of the overall grade for the course and takes place in the January exam period. The FM214 exam paper will have two questions, and students need to answer all questions. It will be one hour and 30 minutes in duration.

Calculators in Exams

Only calculators in the Casio fx-83 and Casio fx-85 ranges may be used in LSE examinations. Students are responsible for ensuring their calculator is in working order and should prepare alternative arrangements in case of calculator failure during the exam.

Schedule

Week	Lecture Topic	Book Chapters	Quiz
0	Background handout (self-study)	—	Tested in Quiz 1
1	Introduction; portfolio theory and the CAPM	7 and 8	No
2	Expected utility and portfolio choice	8.1	No
3	The consumption CAPM	12 (partial)	Yes (handout; weeks 1–2)
4	Valuation of stocks	4 and 12	No
5	Market anomalies and alternative models	12	Yes (weeks 3–4)
6	Absence of arbitrage: state prices and the SDF	—	No
7	Valuation of bonds	3	Yes (weeks 5–6)
8	Bond expected returns	—	No
9	Valuation of forwards and futures	26	Yes (weeks 7–8)
10	Valuation of options	20 and 21	No
11	No lecture	—	Yes (weeks 9–10)

Lectures marked “—” in the chapters column are self-contained in the lecture notes.